PUBLIC PROVIDENT FUND

Public provident fund is an instrument that was started to help individuals save for old age along with earning interest and saving taxes on the same. PPF is a combination of tax benefits, retirement planning, and interest return that effectively creates a popular asset category. It allows both salaried and non-salaried classes to save for their future.PPF is again on the lines of fixed income security and is maintained by National Savings Institute. Let us understand the important features of the same:

INTEREST	As of May 2020, PPF offered 8.0% compounded annually. The interest rate keeps on changing and we need to check the latest PPF interest rates. A simple Google search will give the answer.
TENURE	PPF matures in 15 years and the maturity can be further extended by 5 years at a time when the maturity date is approaching. Due to the long maturity, PPF becomes a useful tool for low-risk individuals looking to plan for long term goals.
TAX TREATMENT	The most attractive part of a PPF investment is its Exempt –Exempt - Exempt category. The amount invested in PPF can be claimed for deduction at the time of investment under section 80C. The interest earned and the return accumulated are all tax-exempt. Thus, no taxes are to be paid on PPF throughout the holding process.
SUITABILITY	PPF is a very suitable form of investment for those planning for Long Term Goals with Debt-like securities. It is suitable for low and moderate risk-taking individuals. However, the key here is that long-term goals can only be met by these as it comes in with strict Pre-Mature withdrawal restrictions. For high risk-taking ability, equity mutual funds will still be more lucrative. Also, PPF restricts the amount that can be invested by one individual to a maximum of Rs. 1.5 lacs per annum.
PURPOSE	The main purpose as said earlier is to have an investment tool to plan for long-term financial goals, at the same time taking advantage of tax savings and an attractive interest return. It helps individuals to plan for long term goals.
PREMATURE WITHDRAWAL	Premature withdrawal of PPF is restricted. It allows a withdrawal of 50% of the corpus at the end of 4 years and part pre-mature withdrawal after 6 years. The withdrawals are restricted. Post 5 years, pre-mature closure of account is permitted under special circumstances.
HOW TO BUY	PPF account has to be opened with post offices or banks. It can be opened online as well as offline.